Research Proposal:

Research Question:

What strategies can Giriraj Sarees Private Limited implement to improve its sales?

Rationale:

Giriraj Sarees Private Limited is a sole-trading business established in 1960. It is a wholesale saree retail business operating in a clothing wholesale market in Gujarat. In recent years, due to the increased E-commerce presence and competition in the clothing industry in Gujarat, GS has seen a decrease in its sales, affecting its overall profitability.

GS is looking for a cost-efficient strategy to increase its profitability. Therefore, this research would suggest whetheR would help GS increase its profitability most effectively.

Key Areas of Syllabus:

Chapter Number	**Topic Name**	**Tool-applied**	**Tool's use**
1.3	Organizational objectives	SWOT Analysis	Assessing the internal factors (Strengths and weaknesses) and external factors (opportunities and threats)
1.7	Organizational planning tools	Decision tree	Analyzing different options of increasing profitability to determine the best option
		Force field analysis	Exploring driving and restraining forces to

			determine the usefulness of having an e-commerce presence
3.5	Profitability and liquidity ratio analysis	Profitability ratios	Analyzing costs
3.8	Investment Appraisal	Investment appraisal	Analyzing potential costs
4.8	E-commerce	Benefits of E-commerce	Exploring potential benefits of E-commerce

Methodology:

Research	Rationale
Primary Research - Interview with proprietor - Customer survey	The interview provides details about the firm The customer survey was conducted through a questionnaire to identify customers perspective towards the business and how it can be altered
Secondary Research - Financial data - News articles	Collected from the business to better analyze and support decisions

Anticipated Difficulties and solutions

Anticipated difficulties	Anticipated solution
Not enough customer reviews as many customers refer to it as spam.	Questionnaire was sent to a large target audience through the business.
Customers hesitant to share identity	the questionnaire designed help maintain anonymity
Difficult to conduct in-person interview with the proprietor	A tele interview was conducted with the proprietor

Action Plan

Gantt Chart of investigation

TASK	ASSIGNED TO	September, 2022				October, 2022				November, 2022				December, 2022				January, 2023				February, 2023			
		10	16	22	28	4	10	16	22	1	8	15	22	4	12	20	28	3	10	17	24	1	10	19	28
1	Finding and organization and finalizing research question																								
2	Writing rough research proposal																								
3	Drafting questions for interview and survey																								
4	Conduct a tele interview with the proprietor																								
5	Conduct a survey of 50 GS customers																								
6	Analysing data from primary research																								
7	Analysing finding from the secondary research																								
8	Drafting the first draft																								
9	Submit first complete draft																								
10	Discussion about the analysis with the proprietor and teacher																								
11	Make changes according to the feedback received from the proprietor and the teacher																								
12	Final draft submission																								

Table of contents

Method Employed:

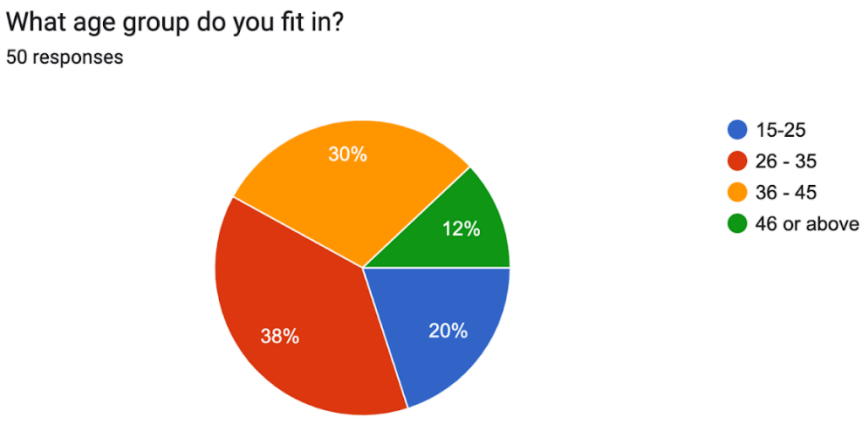
For primary research an interview was conducted with the proprietor to understand the business and the challenges faced by the business. The interview provided information about the business and the proprietor's solutions to improve profitability. A survey was conducted with the customers to better understand the customer perspectives of the business. It was a questionnaire conducted online so it could reach the target customers.

For secondary research I used financial data of the company to analyze using investment appraisal to check feasibility of the solution proposed. New articles were referred to study about the market and its future growth or decline. SWOT analysis identified possible threats and weakness of the business leading to decreased profitability. Lewin's force field diagram indicated the driving and restraining forces of adapting to the change.

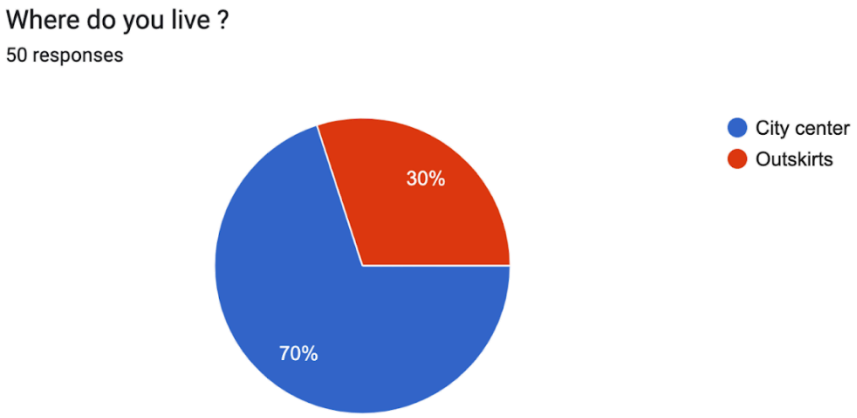
Results and Findings:

Primary Findings:

- 38% of the customers were between the age group 36 - 35



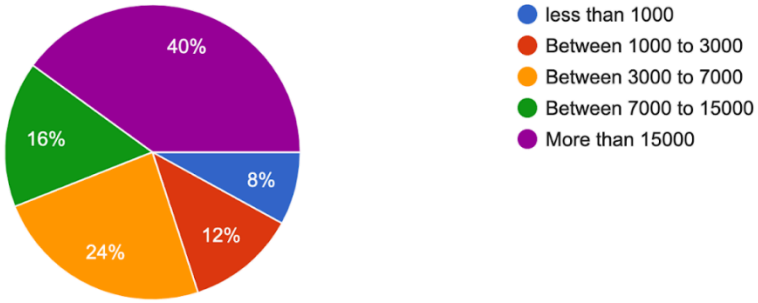
- 70% of the customers live in the city center



- 40% of the customers would spend more than 15000 on sarees

How much on an average would you spend on sarees

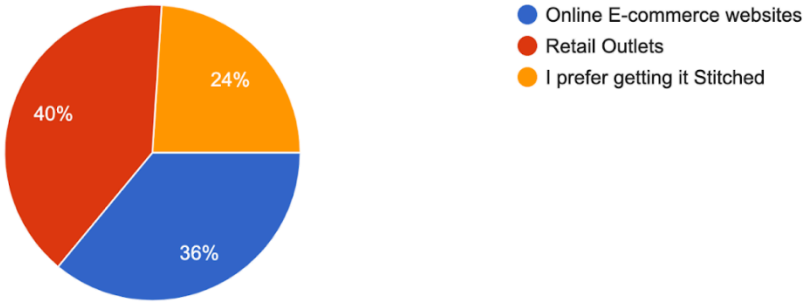
50 responses



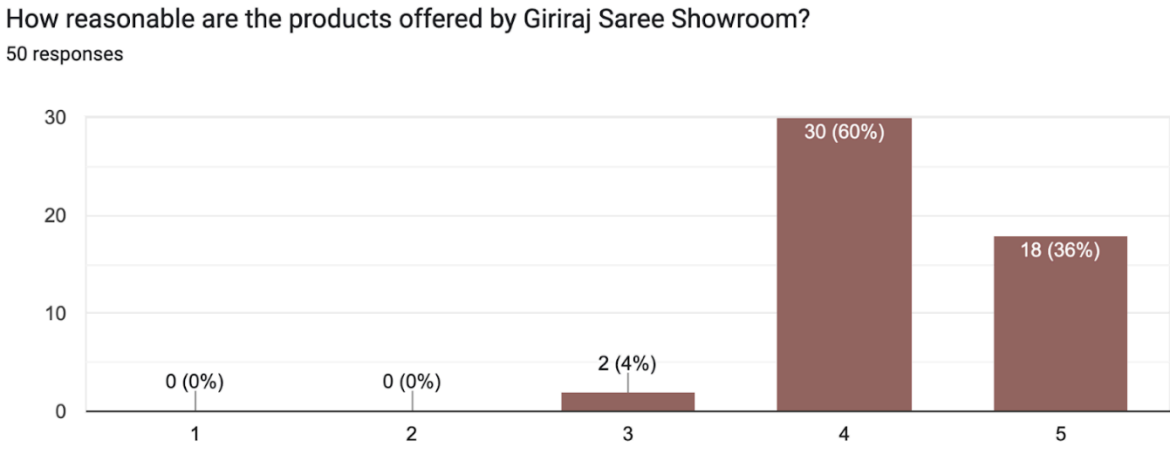
- 40% of the customers prefer shopping from retail outlets

How do you generally prefer to shop?

50 responses



- 60% of the customers find the products of GS reasonable



- 48% of the customers buy sarees only during special occasions
- 30% of the customers wear a saree every day and 30% wear sarees only during special occasions
- 48% of the customers visit Giriraj saree showroom monthly

Analysis:

Trend in sales revenue:

Financial Year	**Total Revenue (₹)**	**CALCULATION**	**Year-on-Year Change (%)**
2019 - 2020	20,87,820.00	NA	NA
2020 - 2021	15,91,800.00	$\frac{15,91,800.00-20,87,820.00}{20,87,820.00} X\ 100$	(23.76)
2021 - 2022	9,38,524.00	$\frac{9,38,524.00-15,91,800.00}{15,91,800.00} X\ 100$	(41.04)

In the past 3 years the sales revenue of GS is drastically declining. This indicates that the business might face difficulties in reaching a break even point and have low profit margin.

SWOT Analysis

Strengths	**Weaknesses**
● 50+ years of presence ● Increased market size of sarees ● Excellent customer service ● Good clothes fabric ● Competitive prices	● Inconvenient store location ● No online presence ● Lack of finance ● No additional revenue stream

Opportunities	Threats
● Expand into E-commerce ● Collaboration with fashion influencers	● Existing well - established rivals ● Changing fashion trends

Decision tree:

A decision tree is a quantitative planning tool that calculates estimated values of different options and minimizes the risks involved in the decision making process. (textbook) This decision tree explores the two options - developing an e-commerce platform and purchasing new stock - considered by GS to improve its sales.

OPTION		FORECASTED COST	REVENUE IF SUCCESSFUL	REVENUE IF UNSUCCESSFUL
OPTION 1	Costs and predicted inflows for developing an E-Commerce platform	265,000	700,000	550,000
OPTION 2	Cost and predicted inflows for purchasing new stock	640,000	1,000,000	800,000

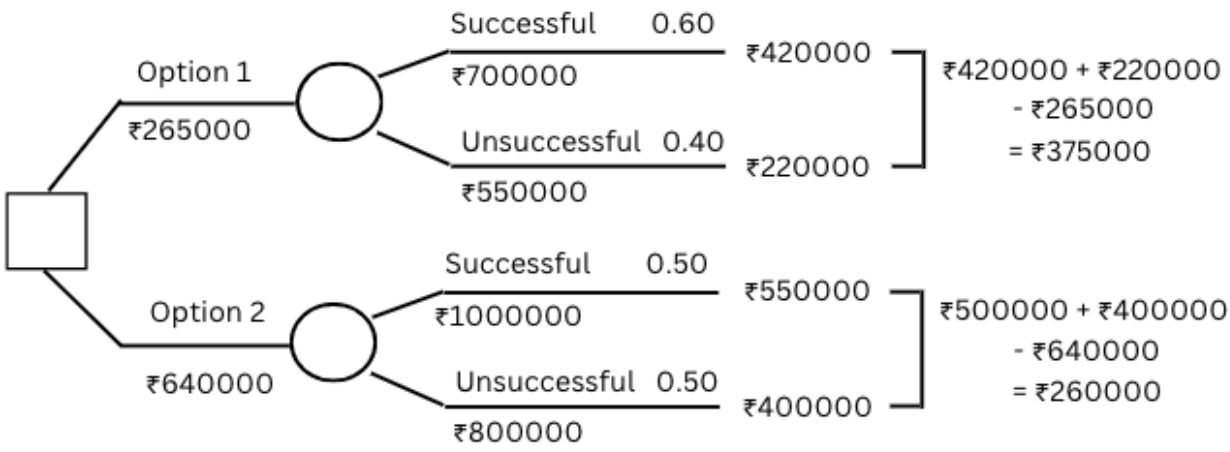


Figure - suggests that expanding the business by developing an E-commerce platform will be more profitable compared to purchasing new stock. The values are estimated and are subject to change according to circumstances like demand in the market or a crisis.

Investment appraisal techniques:

Investment appraisal techniques are quantitative techniques used by firms to determine the profitability of an investment. (Team, 2022). To determine if the investment made by GS in an E-commerce platform would be profitable various investment appraisal techniques like Payback Period, Net present Value are used.

Payback Period:

Payback period refers to the time period required for the business to recover the initial cost of investment. (Javed, 2016)

Year	Net cash flow	Cumulative cash flow
0 (2023 - 2024)	(265,000)	(265,000)
1 (2024 - 2025)	75,000	(190,000)
2 (2025 - 2026)	145,000	(45,000)
3 (2026 - 2027)	240,000	85,000

Monthly profit in Year 3 = $\frac{240,000}{12} = 20000$

$\frac{45000}{20000} = 2.25 \ (Approximately\ 2\ months)$

The payback period is 2 years and 2 months. During this period cash flow could be negative hence, GS has to efficiently manage the cash inflow and outflows for survival.

Average Rate or Return

Average rate of return refers to the annual average return obtained from an investment (Average Rate of Return: Definition & Examples | StudySmarter, n.d.)

Year	**Net cash flow**
0 (2023 - 2024)	(265000)
1 (2024 - 2025)	75000
2 (2025 - 2026)	145000
3 (2026 - 2027)	240,000

Total cash flow for the first 4 years :

$$75{,}000 + 145{,}000 + 240{,}000 = 460{,}000$$

Return made from investment

$$460{,}000 - 265{,}000 = 195{,}000$$

Annual rate of investment

$$\frac{195000}{3} = 65000$$

Average Rate of return:

$$\frac{65000}{265{,}000} X\ 100 = 24.5\ \%\ (Approximately\ 25\%)$$

The average rate of return for GS developing an E -commerce platform is 25% which is promising and it indicates that GS can expect a profit. It is high compartment to the interest rate offered my bank which is 7.65%

Net Present value:

Net present value refers to the present value of the cash flow at a required rate of return of the project compared to the initial investment (Gallo, 2014)

The depreciation each year is 20% as computer systems and electronics would be used

Year	Net cash flow (₹)	Discount factor (20%)	Present value (₹)
1	75,000	0.8333	62,497.5
2	145,000	0.6944	100,688
3	240,000	0.5787	138,888
		Total Present Value	302,073.5

Net Present Value : Total Present value - Cost of Investment

302,073.5 - 265,000 = 37,073.5

The net present value is positive hence it shows that GS investment will be profitable.

Payback Period	2 Year and 2 Months
Average Rate Of Return	25%
Net Present Value	37,073.5

The figures used in the investment appraisal indicate that the investment made in developing an E-commerce platform can result in high sales and profitability. The figures used in this investment appraisal are subjective to change. Changes like external factors like pandemic, demand or changes in the market can alter the numbers used.

Force Field Analysis:

Lewin's force field analysis deals with the forces for and against a change. Driving forces refer to the benefit of a change whereas the restraining forces are causes of resistance to the change (paul hoang 3rd edition).

Score	**Driving Forces**			**Restraining Forces**	Score
4	38.5% (Majority) of customers prefer to purchase sarees from an E-commerce platform			Additional costs (Advertisement, rent , recruitment costs)	4
3	Additional revenue stream			High cost of investment	4
4	50+ Years of presence			Additional Labour	2

4	Increased Brand awareness			Pandemic or unpredictable crisis	4
5	South India saree market will touch Rs 30,800 crore by FY25.			Well established rivals	5
Total : 20			Total : 19		

Figure - is a diagrammatic representation of the forces for and against GS developing an E-commerce platform.

Driving forces:

- The saree market is to expand by an annual rate of 6% over the next 3 years. FY25 the saree market in India will touch Rs.61,700 crore.
- Many consumers find it convenient to shop from an E-commerce platform and many consumers also find the store location very inconvenient
- It has an established customer base with satisfied consumers with 50+ years of presence

Restraining forces:

- Developing an E-commerce platform will increase the overheads. Additional cost would include softwares, computer hardwares, regular maintenance and more
- There are many players in the E-commerce market hence, it would be difficult for GS to gain high market share. It would also require constant changes in price as it is a volatile market

- New employees or freelancers would be needed to develop the E-commerce platform leading to recruitment costs and cultural clashes.

The score for driving forces is higher than the restraining forces hence it indicates the Giriraj Sarees should expand by developing an E-commerce platform. The profitability could increase if GS adapts to more promotional and marketing strategies. GS can adapt to strategies like SEO (Search engine optimization) and influencer marketing to improve sales.

Conclusion:

The analysis done through quantitative and qualitative tools suggests that Giriraj Sarees should expand their business through E-commerce platforms to improve their profitability. The SWOT analysis identifies the possible threats and weaknesses of GS contributing to the decreasing sales and profitability of the business.

The decision tree analyzed the possible options of expansion and helped make a choice that is cost effective and advantageous for GS. The investment appraisal which included PayBack period, Average rate of return and Net present value indicated that the investment in developing an E-commerce platform would be profitable. Lastly, The Lewin's force field analysis indicated that there are more driving forces and restraining forces for developing an Ecommerce platform.

Recommendation

The recommendation for GS based on the analysis is:

- Introduce more promotional strategies to attract consumers. Promotional strategies could include sales/discounts or improving packaging.
    - Positive - It would attract more customers, increasing the sales
    - Challenge - It could incur cost for business or reduce profits
- Developing a USP which will differentiate GS from its competitors
    - Position - Differentiate the business from its competitors
    - Challenge - Identifying a USP
- Have an online presence through social media or influencer marketing
    - Positive - Reach wider range of customers
    - Challenge - Can add on to fixed costs of the business
- Research of the current fashion trends related to sarees
    - Positive - Stay up to date and make changes according to the trends. Helps the business remain competitive
    - Challenge - Research could add to the costs of the business

Citation

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HOANG, P. A. U. L. (2018). Business management 4th edition. IBID Press.

Appendix 1: Interview with proprietor

Me: Can you describe your business? (What is your business about, and when and by whom was it established)

Proprietor: Giriraj Sarees (GS) is a for-profit, sole-trading business established in 1960. We sell sarees, both for everyday use and for special occasions. It was founded by Kalyanjibhai Maniyar and later expanded by Mr. Jitendra Maniyar, who was designated as the area's head of the garment market. It is a B2C business.

Me: Who are your usual customers?

Proprietor: Our usual customers generally are from villages. The location of the store is on the outskirts so it is difficult to attract customers.

Me: What issues has your business been facing?

Proprietor: As our store is located on the outskirts, it is hard to attract customers to our stores. Usually, we attract village customers; however, they buy sarees in bulk, so there are very few chances of them returning to the store frequently.

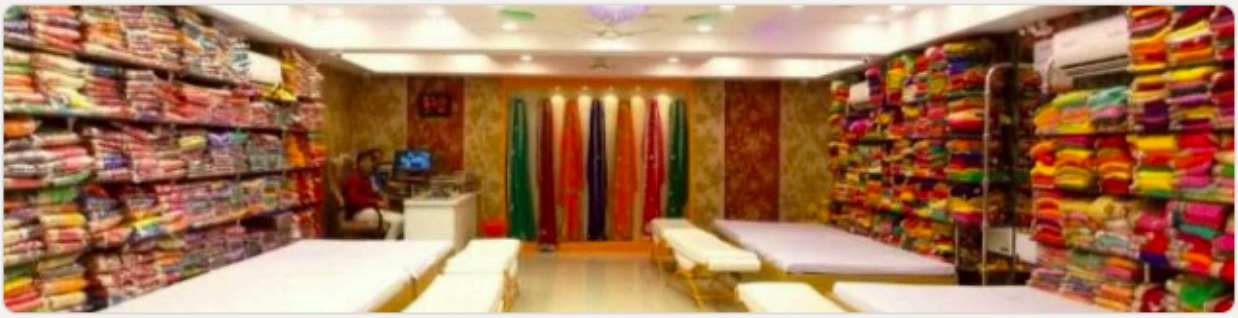
Me: Are there any factors affecting a returning customer ?

Proprietor: Yes, customers usually don't like traveling far for just saris. The majority of our customers are from south India and find it inconvenient to travel long distances to purchase a saree. As I told you earlier, our village customers buy sarees in bulk, so it is very unlikely for the customer to return within 3–4 months.

Me: Are there any plans or goals made by the company to improve its profit?

Proprietor: We have thought of improving the profit through promotional strategies. We are currently considering three ways to improve our profit. The first way is to build an e-commerce platform as many customers find our store location very inconvenient, the second option is to purchase a new stock as currently pre stitched sarees and hand printed sarees are trending and in demand and the third option is to horizontally diversify into the children's clothing market.

Appendix 2: Customer Survey Questions



GIRIRAJ SAREE SHOWROOM

This is a survey for the IBDP Business Management HL IA. Your responses would be kept confidential and will only be used for academic purposes.
Thank you

pearlshah2005@gmail.com Switch account

* Required

Email *

Your email

What age group do you fit in? *

- 15-25
- 26 - 35
- 36 - 45
- 46 or above

Where do you live ? *

- ◯ City center
- ◯ Outskirts

What kind of clothing do you prefer?

☐ Traditional Clothes (Sarees)

☐ Casual Outfits

☐ Indo Western Outfits

How often do you buy a saree? *

- once or twice a month
- Only during occasion
- Rarely

How often do you wear a saree? *

- Everyday
- Once a week
- Once or twice a month
- Only during special occasions

How much on an average would you spend on sarees

- less than 1000
- Between 1000 to 3000
- Between 3000 to 7000
- Between 7000 to 15000
- More than 15000

How do you generally prefer to shop? *

- ◯ Online E-commerce websites
- ◯ Retail Outlets
- ◯ I prefer getting it Stitched

Why do you generally buy a traditional saree? *

☐ For Special occasion

☐ On going trend

☐ To Upload Pictures

☐ To Gift someone

- [ ] Daily wear
- [ ] Other:

How often do you visit Giriraj Saree Showroom? *

- ( ) Rarely
- ( ) Weekly
- ( ) Monthly
- ( ) Only before any special occasion

How reasonable are the products offered by Giriraj Saree Showroom? *

	1	2	3	4	5	
Not reasonable	( )	( )	( )	( )	( )	Very reasonable

What factors do you consider before buying a (traditional) saree ? *

- [ ] Fabric
- [ ] Price
- [ ] Store location
- [ ] Customer Service
- [ ] Other: _____

On the scale of 1 to 5 rate the shore location, quality, and fabric of Giriraj Saree Showroom *

	Poor	Satisfactory	Excellent
Store Location	○	○	○
Price	○	○	○
Fabric	○	○	○
Customer Service	○	○	○

What would you recommend Giriraj Saree Showroom to increase their sales? *

Your answer

Submit

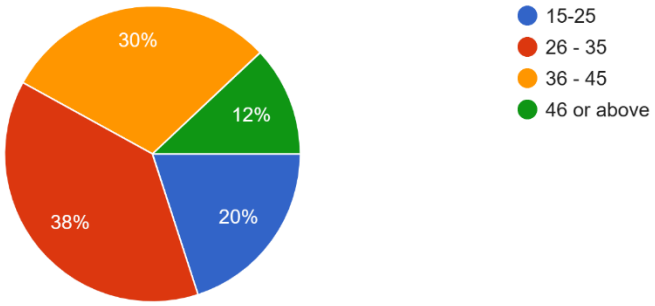
Page 1 of 1

Clear form

Appendix 3: Customer Review

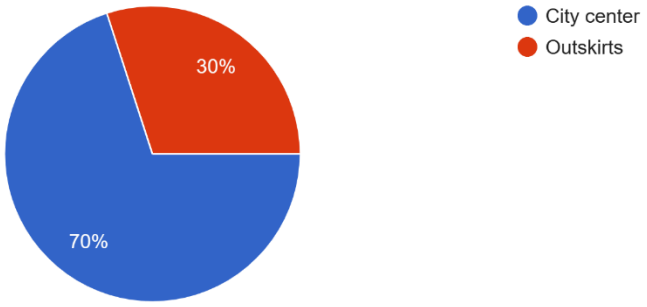
What age group do you fit in?

50 responses



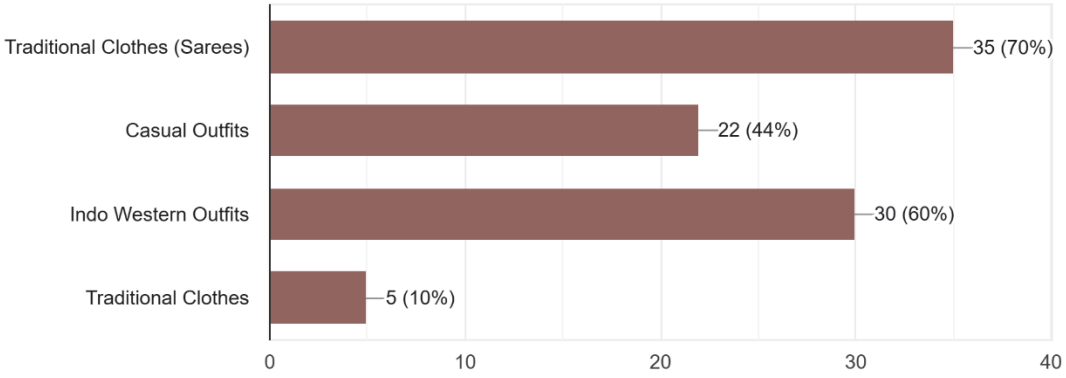
Where do you live ?

50 responses



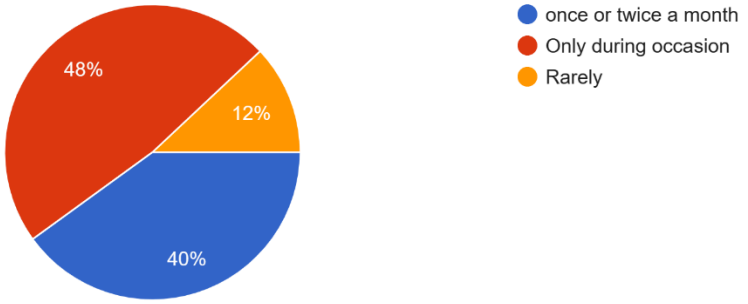
What kind of clothing do you prefer?

50 responses



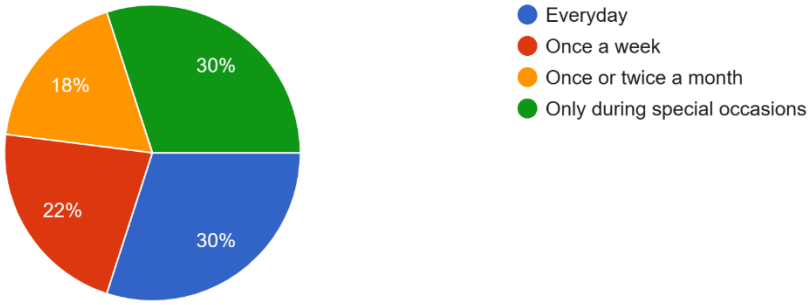
How often do you buy a saree?

50 responses



How often do you wear a saree?

50 responses



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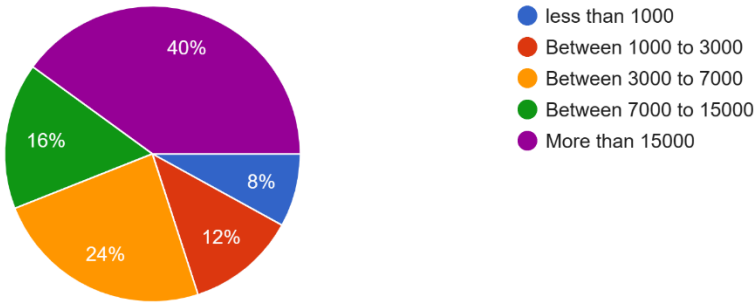

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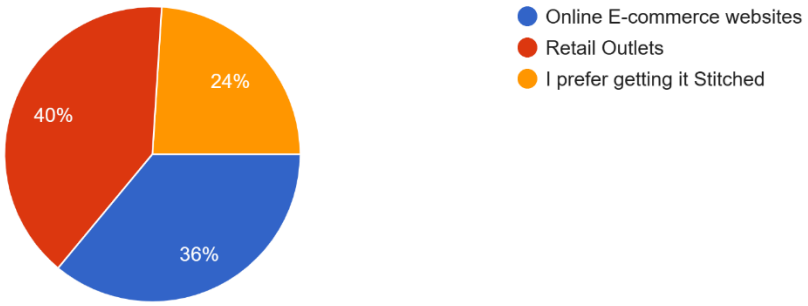
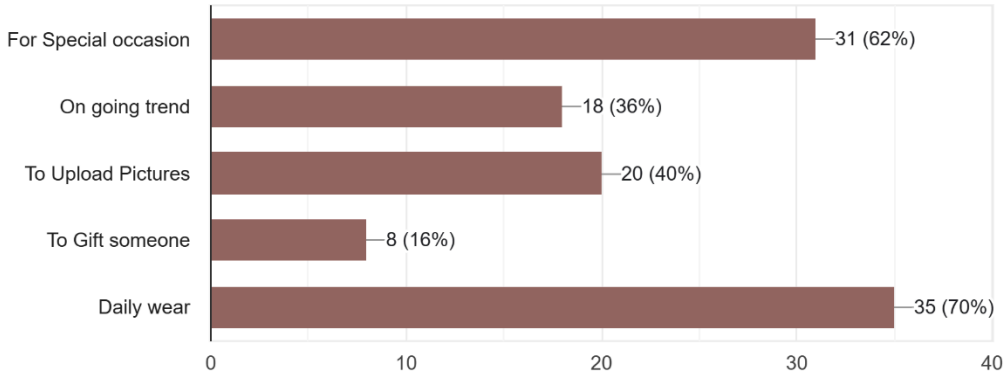
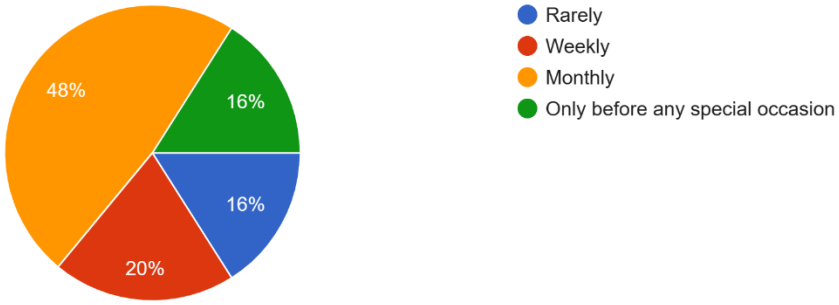


Why do you generally buy a traditional saree?

50 responses



How often do you visit Giriraj Saree Showroom?

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